

From these cases we must conclude that even a high margin of safety in good times may prove ineffective against a succession of operating losses caused by prolonged adversity. The difficulties that befell industrial bonds, therefore, cannot be avoided in the future merely by more stringent requirements as to bond-interest coverage in normal years.

If we examine more closely the behavior of the industrial bond list in 1932–1933 (taking all issues listed on the New York Stock Exchange), we shall note that the fraction that maintained a price reflecting reasonable confidence in the safety of the issue was limited to only 18 out of some 200 companies.⁶

The majority of these companies were of outstanding importance in their respective industries. This point suggests that *large size* is a trait of considerable advantage in dealing with exceptionally unfavorable developments in the industrial world, which may mean in turn that industrial investments should be restricted to major companies. The evidence, however, may be objected to on the ground of having been founded on an admittedly abnormal experience. The less drastic test of 1937–1938 points rather towards the conventional conclusion that issues strongly buttressed by past earnings can be relied on to withstand depressions.⁷ If, however, we go back over a longer period—say, since 1915—we shall find perennial evidence of the instability of industrial earning power. Even in the supposedly prosperous period between 1922 and 1929, the bonds of smaller industrial enterprises did not prove a dependable medium of investment. There were many instances wherein an apparently well-established earning power suffered a sudden disappearance.⁸ In fact these unpredictable variations were sufficiently numerous to suggest the conclusion that there is an inherent lack of stability in the small

⁶ These companies were: American Machine and Foundry, American Sugar Refining Company, Associated Oil Company, Corn Products Refining Company, General Baking Company, General Electric Company, General Motors Acceptance Corporation, Humble Oil and Refining Company, International Business Machine Corporation, Liggett and Myers Tobacco Company, P. Lorillard Company, National Sugar Refining Company, Pillsbury Flour Mills Company, Smith (A.O.) Corporation, Socony-Vacuum Corporation, Standard Oil Company of Indiana, Standard Oil Company of New Jersey and United States Steel Corporation.

⁷ Appendix Note 13 summarizes the performance of industrial bonds in 1937–1938, as related to earnings for a period ended in 1936.

⁸ See Appendix Note 14 for examples.